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STUDENT INVESTMENT MANAGEMENT GROUP

Costco

By the Defensive sector

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BULLISH

Price: $901.35(-1.91%)

Fair Market: $1029-$1036 **1-**

Year Price Target: $1075

Industry: Consumer Staples

P/E	EV/EBITDA	Market Cap	52 Week
45.33x	28-30x	399.73B	High: $1096.50 Low: $844.06

Security Description

- Costco Wholesale Corporation (NASDAQ: COST) operates a global chain of membership only warehouse clubs, founded in 1983 and headquarters in Issaquah WA. CEO Ron Vachris (since January 2024) leads a company that now runs 939 warehouses across 14 countries as of Aug 2026. Costco carries a deliberate narrow assortment of 4000 SKUS (versus 100,000+ at a typical big box retailer) which concentrates purchasing volume with suppliers and supports markups of only about 11% well below the 20-25% typical of traditional retail. Its private label Kirkland Signature drives a large share of sales at strong margins.

Earnings Review

- Full FY2026 net sales reached $297.3B, up 10.2% YoY, while Q4 sales increased 11.3% to $93.9B and August sales rose 9.9% to $23.7B. Costco's latest full earnings report, Q3 FY2026, showed EPS of $4.93, up 15.2% YoY, slightly beating the $4.91 estimate, while comparable sales grew 9.8%. Membership remained strong, with fee income rising 10.7% to $1.37B and renewal rates of 92.2% in the U.S./Canada and 89.7% worldwide. Costco will report its complete Q4 and FY2026 earnings on September 24, 2026, providing an updated view of profitability and margins.

Valuation

- Costco is trading at a premium valuation, with a trailing P/E of around 46x and a forward P/E of around 40x. This compares with roughly 21x for the Consumer Defensive/Retail-Defensive sector, 38–41x for Walmart, and 20–21x for BJ's Wholesale. Costco's valuation is also above its 10-year median P/E of around 38x. Its PEG ratio of approximately 4.5, compared with about 1.9 for the discount retail industry, further reflects the premium investors are paying for expected future growth.
- Relative valuation indicates that Costco trades at a significant premium to peers, with Walmart trading at roughly 38–41x earnings and BJ's Wholesale at about 20–21x. Costco also trades above its own 10-year median P/E of around 38x. Its PEG ratio of approximately 4.5, compared with 1.9 for the discount retail industry, further indicates that the market is pricing in strong expectations for future growth.
- Fair Value Estimates: Guru Focus's GF Value for Costco is around $1,028–$1,039, suggesting the stock may be near fair value or slightly undervalued. Wall Street's average price target is around $1,050–$1,070, reflecting somewhat higher expectations.
- Shareholder Returns: Costco has a relatively low dividend yield of around 0.5–0.6%, with a payout ratio of approximately 28–30%. The company also returns cash through occasional special dividends and shares buybacks. This suggests that investors are generally more focused on Costco's earnings growth and business performance than regular dividend income.

Forward Outlook

- Costco's growth outlook remains supported by strong comparable sales, high membership renewal rates, and recurring membership-fee income, providing a relatively stable foundation for FY2027
- Continued warehouse expansion and rapidly growing digital sales provide additional growth opportunities in both U.S. and international markets.
- The September 24 earnings report will be the key near-term catalyst, with investors focused on FY2027 guidance, margin trends, membership growth, and whether earnings can support Costco's premium valuation.

Risks

- Tariff & Import Costs: Costco relies heavily on internationally sourced merchandise. Higher tariffs could raise product costs, forcing Costco to either absorb the costs and accept lower margins or pass them to consumers through higher prices.
- Valuation Compression: Costco's 40–46x earnings multiple reflects high investor expectations. Any slowdown in sales or earnings growth could cause investors to pay a lower multiple for the stock, putting pressure on the share price.
- Labor Cost Pressure: Costco's strong employee compensation model is an important part of its operations, but rising wages can increase expenses. Given the company's relatively thin retail margins, sustained labor inflation could weigh on profitability.
- International & Regulatory Exposure: Operating across 14 countries provides Costco with growth opportunities but also introduces additional risks. Currency movements, different economic environments, trade policies, and regulatory changes can affect international performance.